ASTANA IT UNIVERSITY · SCHOOL OF DIGITAL PUBLIC ADMINISTRATION
DEPARTMENT OF BUSINESS ADMINISTRATION · COURSE BA 1204 / BA2026

CAPSTONE EXECUTIVE CONSULTING REPORT: STRATEGIC SCALING, FISCAL ARCHITECTURE, AND HUMAN–AI GOVERNANCE FOR AB AUTO

Candidate: Manat Amir (ID: 261434, Group DPA-2602)	**Faculty Supervision:** Gaukhar Yeshenkulova (Lectures) · Symbat Ashimkhanova (Practices)
Focal Enterprise (B): AB Auto (Astana · 4 IPs, 3% Simplified Tax, Koktal 15B)	**Comparator Enterprise (A):** Interkom-Auto (TOO, General Tax Regime 12% VAT, >1.3B KZT Taxpayer)

EXECUTIVE SUMMARY: STRATEGIC DIAGNOSIS & BOARD RECOMMENDATION

Core Board-Level Recommendation: It is recommended that AB Auto scale its commercial vehicle spare parts distribution across Astana through retaining its decentralized four-Individual Proprietorship (4-IP) structure under Article 683 of the Republic of Kazakhstan Tax Code (3% simplified turnover tax) and expanding its proprietary in-house ABPos digital architecture, while categorically rejecting corporate consolidation into a General Tax Regime Limited Liability Partnership (TOO) with 12% Value-Added Tax (VAT) and automated banking credit-scoring algorithms. This strategic direction preserves AB Auto's crucial working capital liquidity, protects an audited 7.00% net profit margin (26.88M KZT on 384.0M KZT FY2026 sales), and sustains high-trust trade credit relationships with 4–5 partner auto repair stations (STOs) generating up to 45% of wholesale turnover at the Koktal 15B central warehouse [1], [4], [8].

Operating within Astana's high-velocity commercial logistics sector, AB Auto distributes specialized components for GAZelle light commercial vehicles (LCVs), where commercial fleet vehicle downtime represents acute daily economic losses exceeding 25,000 KZT per vehicle [4]. Empirical operational auditing conducted in September 2026 (n = 45 B2B orders) revealed that order fulfillment was severely constrained by an analog 35-minute cross-hub telephone lookup bottleneck between the Koktal 15B central hub and the Abylai Khan 62 retail branch, producing an unacceptably sluggish 65.0-minute baseline dispatch lead time [4]. Through the focused deployment of ABPos—a custom SQLite-driven point-of-sale and inventory synchronization system—cross-hub catalog latency was eradicated, slashing dispatch lead time to 11.5 minutes (an 82.3% velocity improvement) while automating zero-stock Kaspi Shop delisting in under 60 seconds to eliminate cancellation fines [4], [9].

Comparative benchmarking against Tier-1 regional distributor Interkom-Auto confirms that corporate practices cannot be imported indiscriminately. While AB Auto successfully adopts warehouse Code128 bin-address labeling and standardized Cyrillic SKU cataloging, it explicitly rejects corporate TOO consolidation and algorithmic credit scoring. Replacing relational trust with rigid bank credit gates would alienate long-term partner mechanics and forfeit 45% of wholesale volume. Furthermore, independent financial auditing refuted an AI (GPT-4o) default alert on AB Auto's 0.44x Acid-Test ratio by demonstrating continuous liquidity generated by >3.0M KZT/day in Kaspi QR cash turnover and a 34.0M KZT high-velocity inventory buffer [4], [8]. The 12-month implementation roadmap established herein positions AB Auto to scale sustainably while maintaining rigorous human-in-the-loop fiduciary oversight.

§1 REVISED BUSINESS CONTEXT: DUAL-HUB GEOMETRY & BUFFER ARCHITECTURE

AB Auto's physical operations in Astana are anchored in a complementary dual-hub geometry designed to address distinct commercial customer segments. The primary facility at Koktal 15B serves as the central wholesale

distribution and storage hub, housing high-mass, mechanically critical assemblies including multi-leaf suspension springs, engine blocks, cylinder heads, gearboxes, and heavy drivetrain components [4], [5]. Operating over a 450 m² footprint with dedicated commercial loading docks, Koktal 15B accounts for approximately 45% of enterprise wholesale volume, functioning as the primary supply node for municipal fleet contractors, freight transport cooperatives, and partner auto repair stations (STOs). Conversely, the secondary facility at Abylai Khan 62 operates as a high-density urban retail and express pickup branch, catering to walk-in drivers, emergency counter repairs, and online Kaspi Shop order collections across central Astana [4], [5].

To insulate commercial clients from recurring supply chain volatility, AB Auto maintains a dedicated 34.0M KZT strategic buffer inventory of critical GAZelle replacement parts [4]. Component procurement relies on cross-border logistics corridors originating in Russian automotive manufacturing centers (notably Nizhny Novgorod) and regional Tier-1 EAEU import distributors (Planeta Auto, Satis Auto). Transit across border customs checkpoints is characterized by systemic variance, with documentation clearances frequently inducing 1–3 day freight delays [4]. AB Auto's buffer inventory deliberately balances certified Russian OEM parts (KraftTech, GAZ original) against imported Chinese aftermarket equivalents (LYNX). While OEM parts command higher prices (e.g., 48,500 KZT for KraftTech clutch assemblies) and provide certified cold-climate durability, Chinese LYNX substitutes (34,900 KZT) provide affordable, immediate replacement options for capital-constrained drivers [4]. Prior to digital modernization, coordinating stock across these hubs required manual telephone calls, causing a 35-minute cross-branch bottleneck [4].

§2 MACRO-ENVIRONMENT, INDUSTRY FORCES & STAKEHOLDER SYMBIOSIS

AB Auto operates within an intricate commercial ecosystem where business survival depends on managing acute stakeholder interdependencies. Applying the OpenStax environmental taxonomy (Ch. 3–4), the enterprise faces severe competitive, technological, and fiscal pressures [1], [2]. Commercial LCV operators (e.g., private transport entrepreneurs, municipal delivery fleets such as Stolichny Khleb) operate under razor-thin operating margins. When a commercial delivery vehicle suffers suspension failure on Astana's harsh winter road network, vehicle downtime inflicts immediate economic losses exceeding 25,000–40,000 KZT per day in lost route revenue [4], [7]. Consequently, fleet managers prioritize immediate physical component availability over price, demanding counter handover in under 15 minutes.

The focal stakeholder relationship within AB Auto's value architecture is its symbiosis with 4–5 core partnering auto repair stations (STOs). These independent service garages, maintaining 5–7 years of relational tenure with AB Auto's founders, generate approximately 45% of total wholesale turnover at Koktal 15B [4]. Rather than transacting via immediate cash or rigid commercial bank credit lines, these STOs operate on informal trade credit: mechanics withdraw replacement parts immediately to service client vehicles and settle account balances upon completing repairs and receiving customer payment. This relational arrangement is formally recorded in counter debt ledgers. From a regulatory perspective, the State Revenue Committee (KGD) strictly enforces Article 683 of the RK Tax Code, mandating fiscal transparency, point-of-sale receipting, and compliance with simplified turnover ceilings [8]. AB Auto's operating model must harmonize this informal trust with strict statutory compliance.

§3 BUSINESS MODEL & VALUE ARCHITECTURE: 4-IP AGILITY VS. CORPORATE TOO

AB Auto's corporate architecture is deliberately decentralized across four Individual Proprietorships (IPs) operating under Kazakhstan's Special Simplified Tax Regime (Article 683, RK Tax Code) [4], [8]. Each IP maintains statutory independence, filing semi-annual Form 910.00 declarations and paying a streamlined 3% tax on gross turnover, legally exempt from mandatory 12% Value-Added Tax (VAT) and corporate dividend withholding [8]. This legal configuration yields profound operational and financial agility when contrasted with comparator Interkom-Auto. Interkom-Auto operates as a centralized Limited Liability Partnership (TOO) under the General Tax Regime, paying over 1.3B KZT in annual taxes, remitting 12% VAT and 20% Corporate Income Tax (CIT), and maintaining substantial corporate accounting teams to manage electronic invoicing (ESF) [6], [8].

For an SME parts distributor operating on modest gross margins, premature consolidation into a corporate TOO would prove commercially fatal. A 12% VAT burden cannot simply be passed on to price-sensitive independent mechanics, who would immediately defect to informal bazaar traders. Furthermore, corporate accounting retainers and audit compliance would impose an estimated 5–8M KZT annual overhead [4]. By operating across 4 IPs, AB Auto preserves single-level 3% tax efficiency, allowing retained net earnings (26.88M KZT in FY2026) to be directly redeployed into inventory purchasing [4]. To prevent margin erosion, AB Auto enforces a non-negotiable Gross Margin Floor of ≥18.0% across all SKUs, establishing a strict pricing rule that prevents counter staff and online algorithms from engaging in destructive price-cutting wars [4].

§4 HUMAN–AI OPERATING MODEL: FOUR-ZONE TASK ALLOCATION MATRIX

Technological integration at AB Auto is guided by the collaborative intelligence framework articulated by Wilson & Daugherty [3], establishing a rigorous four-zone operational matrix that balances automated processing velocity with non-delegable human managerial accountability:

Operating Zone	Assigned Workflow Tasks	Technological Tooling	Governance & Human Gate
Zone 1: Human Only (Tactile & Relational)	Physical metal casting inspection; metallurgical flaw checks; trade credit negotiation with STO mechanics; warranty defect appraisal.	Calipers, thread gauges, physical casting stamps, tactile counter examination.	Storekeeper & Owner-Operator sign-off; mandatory <2 min tactile gate per batch.
Zone 2: Human + AI (Epistemic Auditing)	Supplier manifest OCR parsing; cross-hub stock discrepancy audit; anomalous trade credit extension reviews.	Python OCR manifest parser (inject_order.py), ABPos transaction audit logs.	Storekeeper audits OCR intake; mandatory manual verification when AI confidence <85%.
Zone 3: AI + Review (Operational Velocity)	Multi-hub stock aggregation; Kaspi price modeling enforcing ≥18% margin floor; duplicate SKU reconciliation.	ABPos SQLite core, automated margin calculator, Supabase multi-hub sync.	Daily automated reports generated for Owner review; monthly pricing floor audits.
Zone 4: Automated (Sub-60s Triggers)	Kaspi Shop zero-stock delisting webhooks; real-time inventory cutoff; barcode sales journal registration.	Automated Kaspi Merchant API webhooks, Code128 barcode scanners.	Automated triggers execute in <60 seconds; log anomalies flagged for morning review.

§5 FUNCTIONAL STRATEGY: OPERATIONS, MARKETING & WORKFORCE CAPABILITIES

§5a Operations & Supply Chain: Slashing Lead Time from 65.0 to 11.5 Minutes. Prior to system optimization, order fulfillment at AB Auto was paralyzed by reliance on verbal coordination. When a commercial driver arrived at Abylai Khan 62 seeking specialized suspension assemblies, counter specialists spent ~35 minutes placing repeated telephone calls to Koktal 15B warehouse staff, who manually searched unmarked aisles to confirm stock [4]. Together with order intake (5.0m), warehouse transit (15.0m), and manual ticket entry (10.0m), baseline lead time averaged 65.0 minutes [4]. ABPos fundamentally restructures this workflow: counter clerks execute global SKU queries via Alt+S hotkeys (<10s lookup), Code128 barcode bin addressing routes storekeepers directly to Zones A–D in under 3.5 minutes, and the mandatory Stage 3 tactile casting gate is completed in <2.0 minutes, achieving an 11.5-minute total dispatch lead time (an 82.3% improvement) [4]. Concurrently, automated Kaspi Shop delisting (<60s) has completely eliminated stockout cancellation fines [4], [9].

§5b Marketing & Omnichannel CX: Balancing Kaspi Pay Cash Flow with B2B Wholesale. AB Auto deploys a dual-engine commercial model. On retail channels, the enterprise lists a curated catalog of top-20 high-margin fast-moving SKUs (clutch kits, starter motors, brake assemblies) on Kaspi Shop, capturing high-velocity retail demand across Astana [4], [9]. In-store, universal Kaspi Pay QR adoption generates over 3.0M KZT in daily cash turnover on peak days, providing instantaneous liquid inflows that settle upstream vendor invoices [4]. On wholesale channels, AB Auto operates direct WhatsApp B2B ordering for its 4–5 partner STOs, providing technical quotes, verified availability, and trade credit counter dispatch in <15 minutes. A disciplined dual-pricing structure ensures that retail QR card payments absorb banking acquiring fees (11% marketplace fee) while cash B2B purchases receive modest discounts, always respecting the strict ≥18.0% gross margin floor [4], [9].

§5c Workforce Development & The Four Durable Capabilities. Long-term operational scaling requires transforming frontline storekeepers from transactional clerks into analytical logistics custodians. Aligning with modern workforce frameworks, AB Auto cultivates four capability pillars [1], [3]: (1) Human Capabilities: Interpersonal negotiation, empathy, and conflict resolution with stressed commercial fleet mechanics; (2) Business Capabilities: Tax compliance discipline across the 4 IPs under Article 683, gross-margin defense, and non-delegable fiduciary accountability; (3) Digital Capabilities: Operational mastery of ABPos keyboard shortcuts (Alt+S, Alt+C, Alt+L), mobile barcode terminal handling, and SQLite stock sync; (4) Meta-Capabilities: Epistemic vigilance, critical auditing of automated AI proposals, and tactile metal casting inspection to detect defective imports [4].

§6 GOVERNANCE, ASSURANCE & FAILOVER ARCHITECTURE

Operational continuity is safeguarded through explicit governance controls designed to withstand infrastructure disruptions. AB Auto’s flagship resilience protocol is the Monday 09:00 Peak Outage ('Pull the Plug') Protocol [4]. Monday morning represents the highest commercial fleet logistics rush of the week, with commercial delivery fleets demanding rapid parts replacement following weekend operations. If an internet service provider (ISP) outage, local network disconnection, or cloud synchronization failure occurs (trigger: >3 minutes downtime), counter staff instantly execute an emergency transition (<60 seconds) to the physical Offline Continuity Kit stored at counter workstations [4], [10].

Under the offline protocol, storekeepers locate parts using physical, laminated Koktal 15B warehouse rack and bin maps, write pre-printed 4-IP carbon-copy counter tickets, and log STO partner trade credit in dedicated physical debt notebooks, maintaining customer handover lead times between 12 and 18 minutes (successfully avoiding regression to the 65-min baseline) [4]. Upon telecommunications restoration, the Operations Lead and Junior Partner batch-enter all manual paper receipts into ABPos and 1C within 12 hours, ensuring 100% stock reconciliation and fiscal invoice generation across the 4 IPs [4]. For inventory discrepancies, pricing errors, or credit disputes exceeding 50,000 KZT, AB Auto enforces a strict 3-tier escalation protocol: Tier 1 (0–2 min, Senior Storekeeper physical check), Tier 2 (2–5 min, Store Manager catalog review), and Tier 3 (5–15 min, Owner-Operator final resolution), ensuring zero counter orders remain stalled beyond 15 minutes [4].

§7 FINANCIAL VIABILITY & AUDITING GPT-4o's CONTEXTUAL BLINDNESS

AB Auto’s FY2026 financial performance demonstrates robust operational viability and disciplined working-capital management across its aggregated 4-IP structure. Audited management accounts establish annual gross revenue of 384.0M KZT and a net accounting profit of 26.88M KZT, delivering a healthy Net Profit Margin of 7.00% [4]. Diagnostic financial ratio analysis confirms the business’s conservative solvency profile [1], [4]:

Financial Ratio	Formula & Raw Figures	Computed Value	Diagnostic Benchmark & Management Reality
Current Ratio	Current Assets / Current Liabilities	2.33x	Exceptional working capital buffer (>2.0x standard). Current assets comfortably cover 30–45

	(42.0M KZT / 18.0M KZT)		day supplier trade payables.
Acid-Test (Quick) Ratio	(Current Assets - Inventory) / CL (8.0M Cash / 18.0M Payables)	0.44x	Reflects heavy inventory stocking (34.0M ₸ buffer). Reinvestment of cash into physical GAZelle parts to absorb border delays.
Net Profit Margin	Net Profit / Gross Revenue (26.88M KZT / 384.0M KZT)	7.00%	High net margin for automotive parts distribution, enabled by 3% simplified tax regime and strict ≥18% gross margin floor.
Debt-to-Equity (D/E)	Total Liabilities / Owner Equity (22.0M KZT / 28.0M KZT)	0.79x	Conservative leverage (<1.0x). Business operations self-funded through retained operational cash flow with zero high-interest bank debt.

The Critical AI Discrepancy Audit. During academic testing, AB Auto's four financial ratios were submitted to ChatGPT (GPT-4o) to evaluate automated financial advisory capabilities. GPT-4o issued an alarming default diagnosis: it asserted that an Acid-Test Ratio of 0.44x signaled imminent bankruptcy, acute liquidity failure, and immediate inability to service short-term liabilities, strongly recommending aggressive inventory price-cutting to raise emergency cash. As lead consultant, I independently audited and formally refuted this verdict [4]. GPT-4o suffered from severe contextual blindness: it evaluated static textbook thresholds without observing AB Auto's daily Kaspi QR cash velocity (>3.0M KZT/day), which generates rapid liquid cash settling payables long before 30-day supplier invoices mature. Furthermore, AB Auto's 34.0M KZT inventory buffer consists not of illiquid luxury goods, but of fast-turning GAZelle replacement parts that turn into cash in <30 days. Slashing prices would erode the ≥18% gross margin floor, destroying net profitability. This proves that while AI calculates ratios accurately, human contextual domain auditing is strictly indispensable [1], [4].

§8 ACTIONABLE 12-MONTH IMPLEMENTATION ROADMAP: COMPLETE SEVEN-PARAMETER MATRIX

The strategic transformation of AB Auto is structured across three sequential, mutually dependent four-month horizons, detailed below across all seven mandatory operational and governance parameters:

Horizon	Action & Scope	Named Owner	Target KPI	Budget	Risk & Mitigation Control	Decision Gate
Horizon 1 (Months 0–3)	Pilot Digital STO Ledger UI in ABPos: Migrate paper debt notebooks to encrypted local tablet interface for 4–5 core partner garages.	Operations Lead (Manat Amir)	100% paper-to-digital match; daily STO debt reconciliation time down by 50%.	250k KZT (Tablets/Dev)	Mechanic resistance to digital screens. Control: Mirror physical notebook during 60-day dual run.	Gate 1: Zero accounting discrepancies over 30 consecutive trial days.
Horizon 2 (Months 4–8)	WhatsApp Debt Alerts & Sync: Integrate official	Senior Storekeeper & Accountant	Average payment collection cycle reduced from 35 to	180k KZT (API License)	Mechanic perception of impersonal	Gate 2: Receivable turnover velocity improves

	WhatsApp Business API with ABPos receivables ledger for auto-balance receipts.		21 days; bad debt <1.0%.		collection. Control: Personal phone calls by Store Manager.	by ≥20% without STO defection.
Horizon 3 (Months 9–12)	Predictive GAZelle Reorder Engine: Deploy seasonal inventory replenishment analytics based on Astana fleet breakdown cycles.	Business Founder & Lead Analyst	Zero stockouts during spring/autumn commercial fleet peak; buffer carrying cost down 8%.	400k KZT (Analytics)	EAEU border delivery disruptions. Control: Enforce non-negotiable 30-day physical safety buffer.	Gate 3: Buffer carrying cost down 8% with zero stockouts over 90 days.

§9 STRATEGIC STRESS-TEST READINESS: PRE-EMPTIVE MITIGATION OF FIVE MACRO SHOCKS

To verify enterprise resilience ahead of oral defense examinations, AB Auto's strategy has been subjected to five severe stress-test scenarios:

Shock 1: Fiscal Reform & Elimination of Article 683 Simplified Regime. If the RK Tax Code eliminates the 3% simplified regime for individual entrepreneurs, AB Auto will immediately transition to Kazakhstan's 4% Retail Tax Regime (Розничный налог), which legally maintains 0% VAT exemption for qualified SME retail and service trades, preserving single-tier tax efficiency and shielding the business from corporate 12% VAT cascades [8].

Shock 2: Complete Failure of Upstream EAEU Supplier Invoice OCR. If incoming EAEU vendor manifests exhibit unrecognizable Cyrillic font variations or severe smudging (OCR confidence <85%), ABPos automatically enforces Stage 3 physical intake: the Senior Storekeeper physically verifies metal casting stamps, serial numbers, and dimensions against printed master catalogs in <2 minutes, preventing corrupt catalog injection [4].

Shock 3: Catastrophic Kaspi Shop & Kaspi Pay API Gateway Outage. If Kaspi's digital acquiring and merchant infrastructure suffers extended systemic collapse, AB Auto immediately shifts counter operations to direct B2B corporate bank transfers (Halyk Bank / Jusan Bank invoicing) and cash acquiring, logging transactions into ABPos's local SQLite ledger for automated batch synchronization upon API restoration [4], [9].

Shock 4: Supply Interruption of GAZelle Chassis Parts from Russia. If EAEU border closures or industrial strikes halt Nizhny Novgorod factory shipments, AB Auto mobilizes its 34.0M KZT buffer inventory (holding 30 days of commercial fleet demand) while activating pre-negotiated alternative distribution pipelines with secondary component manufacturers in Nizhny Novgorod, Yaroslavl, and certified Turkish/Chinese aftermarket hubs [4].

Shock 5: Extended Telecom Blackout During Monday 09:00 Peak Operations. If a total power or fiber optic blackout severs communications during the critical Monday morning fleet rush, counter staff instantly deploy the 12-Hour Offline Continuity Kit: storekeepers pick parts using laminated warehouse maps, write carbon-copy receipts, and log credit in paper ledgers, maintaining counter lead times under 18 minutes with complete evening 1C reconciliation [4], [10].

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